

1986 TO 2026

Forty years of markets

What changed, and what still matters



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THREE DATES

Forty years ago this month, London switched on its screens

1986

27 OCTOBER

London's Big Bang. Fixed commissions scrapped, prices move onto SEAQ screens. Deals are still done by phone.

2022

30 NOVEMBER

ChatGPT launches. Four years on, AI is the defining equity theme in New York, Taipei and Seoul alike.

2026

26 JULY

DTCC runs its first live tokenised trades in US equities, ETFs and Treasuries. Full service is due this October.

THE TRANSFORMATION

Four forces reshaped markets



New markets

A bigger listed world,
plus private assets
and crypto



New instruments

Swaps, ETFs and
options that expire
the same day



New technology

Screens, algorithms,
free trading
and tokens



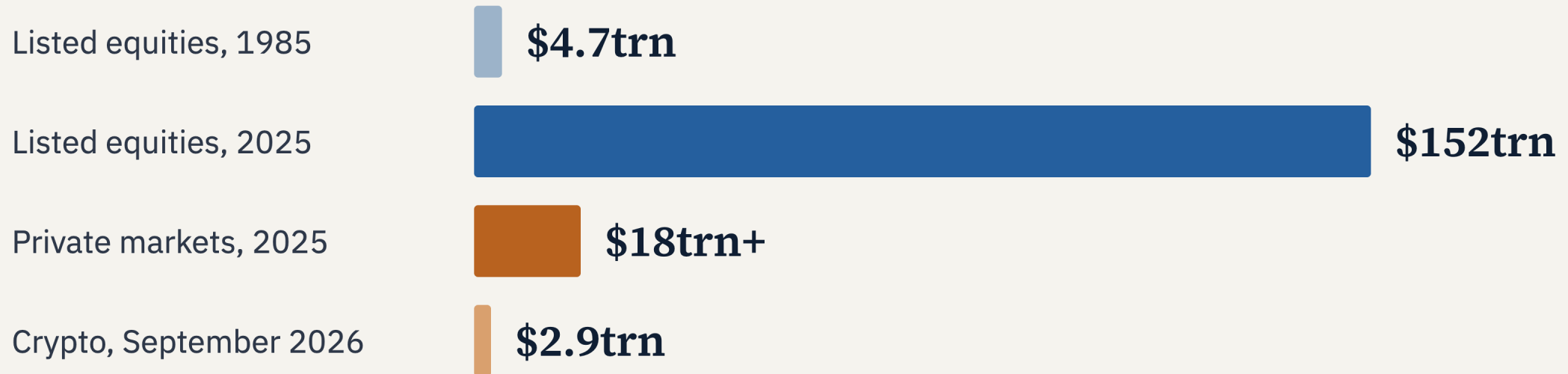
New participants

Index funds, app-
based traders and
private wealth

Each one changed how portfolios behave. **None of them changed why we invest.**

NEW MARKETS

Listed equities are worth 32 times what they were in 1985



Private markets alone are now almost **four times** the size of the entire listed world of 1985.

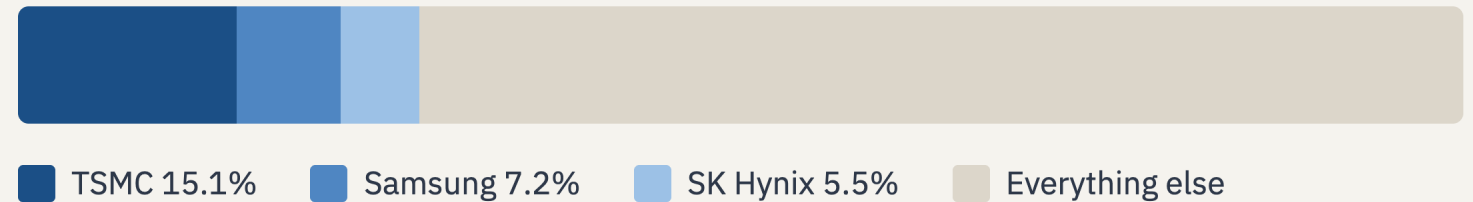
NEW MARKETS

Emerging markets have become a chip trade

41.6%

of the MSCI Emerging Markets index is information technology

Three chipmakers make up 28% of the index



The top 10 stocks are close to 40% of both MSCI EM and the S&P 500. **Buying EM to diversify away from US tech now doubles down on it.**

NEW INSTRUMENTS

Instruments multiplied, and got shorter-dated

\$845trn

**OTC derivatives outstanding,
notional, end-2025**

\$72trn when the BIS began counting in 1998

\$23trn

**Global ETF assets, end of
July 2026**

The first ETF listed in Toronto in 1990; SPY followed in 1993

59%

**of S&P 500 options volume in
2025 expired the same day**

2.3 million zero-day contracts a day,
on average

NEW TECHNOLOGY

From the trading floor to the token

1986

SCREENS

London quotes move
onto SEAQ

2008

ALGORITHMS

Algos pass 60% of
US equity volume

2019

FREE TRADING

Online US stock
commissions go
to \$0

2022

GENERATIVE AI

ChatGPT reaches
the public

2026

TOKENS

DTCC settles
tokenised securities

Trading became cheaper and faster. **Holding periods shrank from years to months.**

NEW PARTICIPANTS

Who owns the market changes how it moves

55%+

of US long-term fund assets sit in passive funds. Passive overtook active at the end of 2023.

\$204bn

raised from individual investors by alternative funds in 2025, double 2023

~20%

of US equity trading is retail, with peaks near 35% in April 2025

~40%

of the S&P 500 sits in its 10 largest stocks, versus about 18% in the mid-1980s

THE GROUND MOVED UNDERNEATH

The 40-year bond rally is over

7.67%

US 10-year yield,
1986 average



0.62%

The low, August
2020 (monthly)



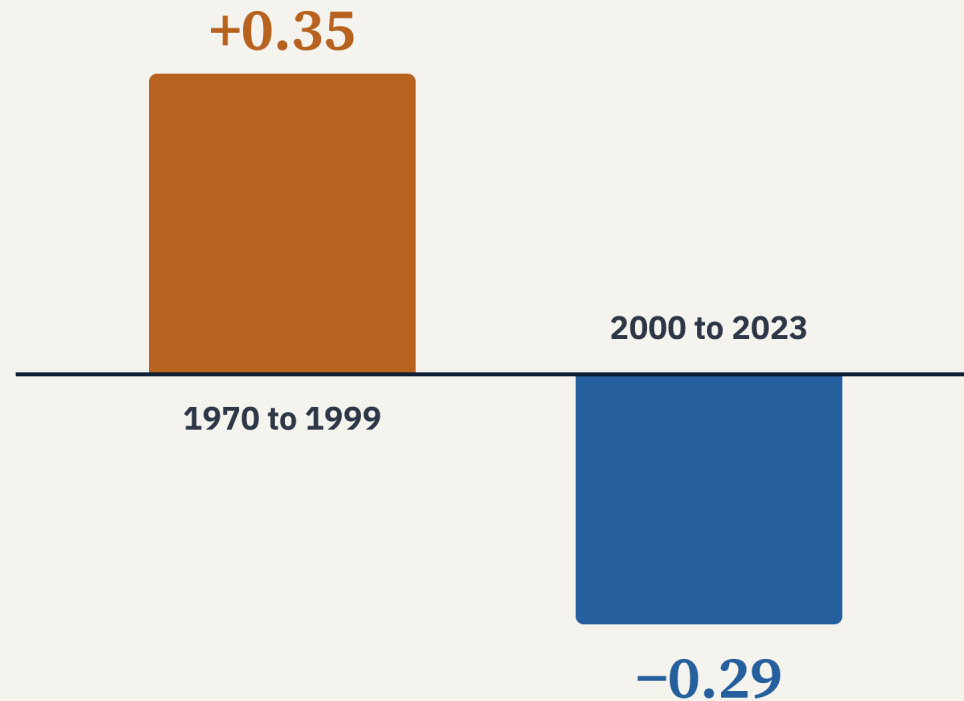
5.21%

29 September 2026

UK 10-year gilts reached about 5.4% the same day, the highest since 1999. **Cash and bonds pay again. That changes what bonds are for.**

THE GROUND MOVED UNDERNEATH

Bonds stopped being the airbag



Average stock-bond correlation. Above zero, they fall together. Below zero, bonds cushion equity losses.

Since 2021, in every month the S&P 500 fell 2% or more, US aggregate bonds lost money too. The one exception: March 2025.

The last 25 years were the exception, not the rule.

36-month rolling correlation, US equities vs 10-year government bonds. Sources: Financial Analysts Journal (2024); Bloomberg; Barclays Private Bank, September 2026

SO IS IT A DIFFERENT GAME?

"The players may have changed and the goalposts may have moved, but the core rules and objectives are the same."

"Time for a portfolio reboot?", Barclays Private Bank, September 2026

WHAT HASN'T CHANGED

The rules haven't changed

Diversify

Still the only free lunch.
Concentration and unstable correlations make it harder, and that is why it matters more.

Beat inflation

Real cash rates are negative in the eurozone and around zero in the US. Protecting wealth still means taking some risk.

Compound

Over ten years to 2025, the average dollar in US funds earned 1.2% less than the funds did. The gap is timing.

WHAT TO DO ABOUT IT

Three updates to the playbook

01 **Allocate for today's regime**

Own bonds for income, not as an automatic hedge. Protecting the downside needs a broader toolkit.

02 **Respect the market's plumbing**

Retail flows, options positioning and momentum can push prices further than valuation alone suggests.

03 **Use more tools**

Passive and active do different jobs. Simple option structures can sharpen a view. Alternatives are adapting too.

Refresh the playbook. Keep the rulebook.

Diversify broadly

Stay invested

Protect purchasing power

Let compounding work

You wouldn't run your computer on a ten-year-old operating system. Your portfolio deserves the same update.